Alaska Air Group (ALK) — Q2 2026 Guidance vs. Actual

Variance analysis of management guidance (Apr 20, 2026) against reported Q2 2026 results (Jul 21, 2026). Adjusted (non-GAAP) basis.

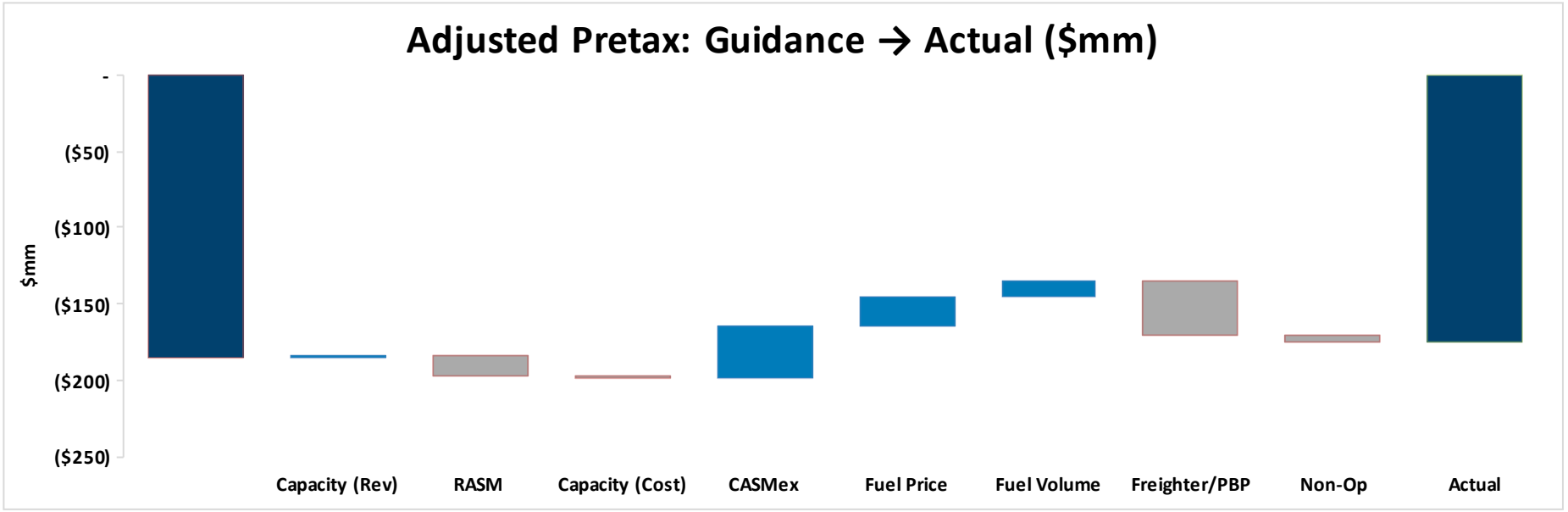
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Headline metric	Guidance	Actual	Variance	F / U
Capacity (ASMs) y/y	1.0%	1.0%	**+0.0%**	
Unit revenue (RASM) y/y	9.0%	8.6%	**-0.4%**	**U**
Unit cost (CASMex) y/y	7.8%	6.5%	**-1.3%**	**F**
Economic fuel cost per gallon	$4.50	$4.43	**($0.07)**	**F**
Adjusted pretax income ($mm, model)	($185)	($176)	**$9**	**F**
Adjusted EPS (guided vs. reported)	($1.00)	($0.92)	**$0.08**	**F**

y/y actuals computed vs. Q2 2025 baseline on Inputs tab; percentage variances shown in points.

Key takeaways

1. EPS guidance beat from taxes, not operations	Adjusted EPS of -$0.92 beat the model budget (-$1.10). About $0.15 of the $0.18 improvement came from a 42% tax rate on the pretax loss vs. 32% planned. Pretax income was only $9M better than plan. That makes the beat low quality and not repeatable: the tax effect reverses once Alaska returns to profitability.
2. Strong increase in unit revenues despite missed midpoint	Unit revenues grew 8.6%, slightly unfavorable to 9% midpoint, but fits "high single digits" expectation. With capacity growth up only 1%, unit revenue growth came from pricing and mix: premium revenue rose 15% and cargo revenue 21%. Expect low double digit growth for Q3.
3. Strong cost control offset by incentive pay & softer unit revenue	Strong cost management brought non-fuel operating costs in $32M (1.1%) under forecast. Fuel cost came in $30M (2.2%) under forecast. If cost management continues Q3 CASMex assumptions may be conservative. Savings on cost were offset by higher performance-based pay ($35M), higher interest expense from new financing ($5M), and unit revenues slightly below forecast.



Color legend

Blue text	Input cell - Hard-Coded
Black text	Formula
Green text	Cross Sheet Reference

Sources

Alaska Air Group, Form 8-K Ex. 99.1, Q1 2026 earnings release (Apr 20, 2026)
Alaska Air Group, Form 8-K Ex. 99.1, Q2 2026 earnings release (Jul 21, 2026)

Inputs

Line item	Unit	Value	Source & Notes
A. Prior-year baseline — Q2 2025 actual			
ASMs (capacity)	mm	24,058	EX 99.1 7/21/2026 Earnings Release; Operating Statistics
RASM (unit revenue)	¢	15.39¢	EX 99.1 7/21/2026 Earnings Release; Operating Statistics
CASMex (non-fuel unit cost)	¢	10.70¢	EX 99.1 7/21/2026 Earnings Release; Operating Statistics
B. Budget — Q2 2026 forecast			
Capacity (ASMs) growth y/y	%	1.0%	EX 99.1 4/20/2026 Earnings Release; Second Quarter Forecast Information
RASM growth y/y (midpoint)	%	9.0%	EX 99.1 4/20/2026 Earnings Release; Second Quarter Forecast Information Midpoint from 8-10%
Q1 2026 CASMex growth y/y (base for guidance)	%	6.3%	EX 99.1 4/20/2026 Earnings Release; Operating Statistics
Guided CASMex increment vs. Q1	pts	1.5%	EX 99.1 4/20/2026 Earnings Release; Second Quarter Forecast Information
Implied CASMex growth y/y	%	**7.8%**	
Economic fuel cost per gallon	$/gal	$4.50	EX 99.1 4/20/2026 Earnings Release; Second Quarter Forecast Information
Fuel gallons consumed	mm	297	EX 99.1 4/20/2026 Earnings Release; Second Quarter Forecast Information
Tax rate	%	32.0%	EX 99.1 4/20/2026 Earnings Release; Second Quarter Forecast Information
Guided adjusted EPS	$/sh	($1.00)	EX 99.1 4/20/2026 Earnings Release; Second Quarter forecast Information
Freighter costs + performance-based pay (assumption)	$mm	$81	EX 99.1 4/20/2026 Earnings Release; CASMex Reconciliation Assumes Q1 Run-Rate

Non-operating expense, net, excl. FX (assumption)	$mm	$41	EX 99.1 4/20/2026 Earnings Release, Condensed Consolidated Statement of Operations Assumes Q1 Run-Rate
Diluted shares (assumption)	mm	114.3	EX 99.1 4/20/2026 Earnings Release; Condensed Consolidated Statement of Operations Assumes Q1 Run-Rate
C. Actual — Q2 2026 results (Q2 2026 release, Jul 21, 2026)			
ASMs (capacity)	mm	24,306	EX 99.1 7/21/2026 Earnings Release; Operating Statistics
RASM (unit revenue)	¢	16.72¢	EX 99.1 7/21/2026 Earnings Release; Operating Statistics
CASMex (non-fuel unit cost)	¢	11.40¢	EX 99.1 7/21/2026 Earnings Release; Operating Statistics
Economic fuel cost per gallon	$/gal	$4.43	EX 99.1 7/21/2026 Earnings Release; Operating Statistics
Fuel gallons consumed	mm	295	EX 99.1 7/21/2026 Earnings Release; Operating Statistics
Freighter costs + performance-based pay	$mm	$116	EX 99.1 7/21/2026 Earnings Release; CASMex Reconciliation
Non-operating expense, net, excl. FX	$mm	$46	EX 99.1 7/21/2026 Earnings Release; Condensed Consolidated Statement of Operations
Adjusted tax rate (adj. tax ÷ adj. pretax)	%	42.0%	EX 99.1 7/21/2026 Earnings Release; GAAP-to-non-GAAP Reconciliation
Diluted shares	mm	111.1	EX 99.1 7/21/2026 Earnings Release; Condensed Consolidated Statement of Operations
Reported adjusted pretax income (check)	$mm	($176)	EX 99.1 7/21/2026 Earnings Release; GAAP-to-non-GAAP Reconciliation
Reported adjusted EPS (check)	$/sh	($0.92)	EX 99.1 7/21/2026 Earnings Release; GAAP-to-non-GAAP Reconciliation
Reported total operating revenue (check)	$mm	$4,065	EX 99.1 7/21/2026 Earnings Release; Condensed Consolidated Statement of Operations

Budget (Guidance) vs. Actual — Q2 2026

F = favorable, U = unfavorable

Line item	Unit	Budget	Actual	Variance	Var %	F / U	Commentary (driver explanation)
Operating drivers							
ASMs (capacity)	mm	24,299	24,306	7	0.0%		Capacity grew ~1%, on budget, with no meaningful impact on earnings
RASM	¢	16.78¢	16.72¢	(0.06¢)	(0.3%)	**U**	Unit revenues grew 8.6%, slightly unfavorable to 9% midpoint, but fits "high single digits" expectation.
CASMex	¢	11.53¢	11.40¢	(0.13¢)	(1.2%)	**F**	CASMex grew 6.5% vs 7.8% forecasted growth. Strong cost management minimized increases due to transitory factors
Fuel cost per gallon	$/gal	$4.50	$4.43	($0.07)	(1.6%)	**F**	Fuel cost rose 85% adding $600M in cost; an expected significant increase, but 1.6% lower than forecast
Fuel gallons	mm	297	295	(2)	(0.7%)	**F**	Fuel consumption below budget by 2M gallons; on target for current capacity plan
Adjusted P&L ($mm)							
Total operating revenue	$mm	$4,076	$4,064	($12)	(0.3%)	**U**	Operating revenue grew ~10%, $12M below forecast because of a slight RASM shortfall
Non-fuel operating costs (CASMex basis)	$mm	$2,803	$2,771	($32)	(1.1%)	**F**	Non-fuel costs were $32M under forecast because of strong cost management
Aircraft fuel	$mm	$1,337	$1,307	($30)	(2.2%)	**F**	Fuel costs were $30M under forecast due to lower fuel cost and consumption
Freighter costs + performance-based pay	$mm	$81	$116	$35	43.2%	**U**	$35M above forecasted costs; entirely tied to performance-based pay, likely due to strong operational performance
Adjusted operating income	$mm	**($144)**	**($130)**	**$14**	10.0%	**F**	Operating income 10% above forecast; cost management and lower fuel price more than offset unit revenue shortfall
Non-operating expense, net	$mm	$41	$46	$5	12.2%	**U**	Non-operating expenses $5M above budget due to higher interest expense on $1B of new financing in Q2
Adjusted pretax income	$mm	**($185)**	**($176)**	**$9**	5.1%	**F**	Pretax income 5.1% above budget; tied to cost management but partly offset by an increase in performance-based pay
Tax rate	%	32.0%	42.0%	+10.0%			Tax rate 42% vs 32% budget; higher rate raises tax benefit on pretax loss
Income tax expense / (benefit)	$mm	($59)	($74)	($15)	(24.7%)		$15M higher benefit than plan due to higher rate on pretax loss
Adjusted net income	$mm	**($126)**	**($102)**	**$24**	19.1%	**F**	Adjusted net income 19.1% higher than forecast due to tax benefit
Diluted shares	mm	114.3	111.1	(3.2)	(2.8%)		A decrease in diluted shares by 3.2M due to Q1 share repurchases
Adjusted EPS (model)	$/sh	**($1.10)**	**($0.92)**	**$0.18**	16.8%	**F**	$0.18 favorable vs. model budget ($0.08 vs. -$1.00 guide): +$0.15 tax, +$0.06 operations, -$0.03 share count

Check	Unit	Reported	Model	Difference
Budget EPS: guided vs. model-implied	$/sh	($1.00)	($1.10)	**$0.10**
Actual EPS: reported vs. model	$/sh	($0.92)	($0.92)	**($0.00)**
Actual pretax: reported vs. model	$mm	($176)	($176)	**($0)**
Actual revenue: reported vs. model	$mm	$4,065	$4,064	**$1**

Guidance-to-Actual Bridge — Q2 2026

Volume effects at budget rates; rate effects at actual volumes. Positive = helped earnings vs. guidance.

Driver	Pretax impact ($mm)	EPS impact ($/sh)	% of EPS var.	Commentary	Chart label
Budget (guidance-based model)	**($185)**	**($1.101)**			
Capacity — revenue volume	$1	$0.007	4.0%	Capacity plan < 5% of EPS variance; on budget with no forecast change needed	Capacity (Rev)
Unit revenue (RASM) — rate	($13)	($0.080)	(43.1%)	Second largest unfavorable driver, partly due to Hawaii storms. Low double digit growth expected for Q3; for forecast use a more conservative midpoint	RASM
Capacity — non-fuel cost volume	($1)	($0.005)	(2.8%)	Capacity plan < 5% of EPS variance; on budget with no forecast change needed	Capacity (Cost)
Unit cost (CASMex) — rate	$33	$0.195	105.3%	Strongest favorable driver from cost management; if cost management continues Q3 CASMex assumptions may be conservative	CASMex
Fuel price	$21	$0.123	66.5%	External favorable factor; fuel remains volatile and should be stress-tested in Q3	Fuel Price
Fuel consumption	$9	$0.054	29.0%	Small factor partly controllable with the modernization of aircraft fleet; expect continued moderate benefit	Fuel Volume
Freighter costs + performance-based pay	($35)	($0.208)	(112.7%)	Largest unfavorable factor offsetting CASMex performance. Entirely tied to a large swing in performance-based pay from a light Q1.	Freighter/PBP
Non-operating expense	($5)	($0.030)	(16.1%)	Higher interest expense from $1B in new financing that will continue into Q3 and later	Non-Op
Tax rate		$0.154	83.6%	Majority reason for EPS movement; non-operational factor & non-repeatable. A higher rate is a benefit in a loss quarter but a negative when profitable	
Share count		($0.025)	(13.7%)	Small expected factor from Q1 buybacks; work announced repurchases into budget's share assumption	
Actual (model)	**($176)**	**($0.917)**			Actual

Check: bridge end vs. Variance tab actual (must b	**-**	**-**
Reported adj. EPS vs. guided EPS (headline variance)		$0.08

